

Carrier Delay, SLA and Penalty Administration Policy

AfaqRoute Logistics Services Co. (ARLS) | Saudi Arabia Operations

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Purpose

To govern internal calculation, review and escalation of carrier-attributable delay exposure and contractual service penalties.

Scope

Applies to contracted carriers where shipment-level promised delivery times, service credits or delay penalties are defined.

1. SLA calculation principles

- Use the original contractual promised-delivery timestamp unless an approved amendment is documented.
- System penalty calculations are operational estimates and are not an approved deduction until commercial validation.
- Penalty exposure must respect the applicable daily rate and maximum-liability cap.
- Delivered shipments are assessed using delivery/last-updated time rather than current time.

2. Commercial review thresholds

Estimated exposure	Required review
< SAR 1,000	Operations owner validates evidence
SAR 1,000-4,999	Operations Manager
SAR 5,000-19,999	Commercial Manager
>= SAR 20,000	Commercial Director or authorized delegate

3. Evidence package

- Shipment and carrier booking references.
- Promised and actual delivery timestamps.
- Milestone history and exception timeline.
- Carrier communications and recovery-plan requests.
- Any customer, customs, closure or force-majeure evidence relevant to contractual exclusions.
- Calculated exposure and applicable contract clause/reference.

4. Operational use

- When less than 12 hours remain and recovery is uncertain, mark SLA at risk.
- When breach is unavoidable, prioritize service recovery first and commercial claim activity second.
- Repeated failures are referred to the monthly carrier performance review.

Records and audit trail

All material actions, timestamps, approvals, customer notifications and supporting evidence must be recorded against the shipment or incident reference in the transport management system.

Control note

This internal document does not replace Saudi laws, customs instructions, carrier terms, customer contracts or directions issued by competent authorities.